

**WINDROCK**  
— LAND CO. —  
ESTABLISHED 1872

**ANNUAL REPORT**  
**2025**

**WINDROCK LAND COMPANY**

Water's Edge  
614 Mabry Hood Road, Suite 301  
Knoxville, TN 37932

**2025**

**DIRECTORS**

THOMAS M. AYRES.....Knoxville, Tennessee  
ANDREW J. BUSH ..... Sevierville, Tennessee  
MILES E. CULLOM, JR.....Knoxville, Tennessee  
LAWRENCE M. GILPIN .....Bodega Bay, California  
LEWIS S. HOWARD, JR. ....Knoxville, Tennessee  
WILLIAM S. LYON III ..... Lenoir City, Tennessee  
GEORGE A. ROZANSKI..... Columbia, Maryland

**OFFICERS**

LEWIS S. HOWARD, JR.  
Chief Executive Officer/President.....Knoxville, Tennessee  
  
CLAUDIA P. DEPEW,  
Chief Operating Officer/  
Chief Financial Officer.....Maryville, Tennessee  
  
BRETLYN M. MCLAIN,  
Corporate Secretary ..... Knoxville, Tennessee

# WINDROCK

— LAND CO. —

ESTABLISHED 1872

February 27, 2026

To Our Shareholders:

Windrock Land Company delivered another profitable year in 2025, strengthening its liquidity position, eliminating all long and short-term debt and increasing shareholders' equity. Total revenues increased modestly, driven primarily by continued growth in recreation related operations while net income declined slightly due to lower carbon credit revenue and reduced unrealized investment gains.

Results for the fiscal year ending December 31, 2025 are as follows:

|           | <u>2025</u>   | <u>2024</u>   | <u>Change</u> |
|-----------|---------------|---------------|---------------|
| Revenues: | \$ 12,856,229 | \$ 12,295,853 | \$ 560,376    |
| Earnings: | \$ 3,400,350  | \$ 3,659,510  | \$ (259,160)  |
| EPS:      | \$ 36.45      | \$ 39.22      | \$ (2.77)     |
| EPS*:     | \$ 39.58      | \$ 28.74      | \$ 10.84      |

\*(Excluding Net Unrealized Gain/Loss on Marketable Securities and related tax effects).

Regular dividends of \$12.00 per share and special dividends of \$10.00 per share were declared and paid to shareholders in 2025.

The Company achieved a slight increase in operating revenue and a slight decrease in net income compared to 2024, reflecting increased oil and gas royalties, rental income, land use permits and one-time easement reimbursements. Overall visitor days, permit sales and cabin rentals were up slightly.

The Company sold a small number of carbon credits in 2025 and retains a significant number of carbon credits which the Company anticipates being monetized in the near term.

Revenue from timber operations (\$778,419) was essentially unchanged from 2024 as 2,422,817 million board feet of timber was harvested in 2025 vs. 3,359,168 million board feet harvested in 2024. The Company continues to harvest timber below the growth rate of approximately 5,750,000 million board feet per year.

Oil and gas revenue increased 18% to \$475,529 due to slightly higher pricing and increased production.

The financial condition of the Company remains strong as all long and short-term debt was fully retired in 2025 and an operating reserve of \$500,000 was established and will be maintained.

Priorities for the coming year include the restoration and updating of older lodging facilities, construction of additional lodging units, construction of an outdoor pavilion and restrooms for events and continuing to seek new and diversified revenue streams.

At a meeting held February 26, 2026, the Board of Directors declared a quarterly dividend of \$3.00 per share.

We remain confident in the Company's ability to continue to invest in recreation infrastructure, evaluate expansion opportunities and explore long-term land use strategies while delivering long-term value through disciplined growth, operational excellence and stewardship of our unique assets.

The annual shareholders' meeting will be held May 21, 2026 at the offices of the Company. A further notice of such meeting and proxy will be mailed to all shareholders.

Audited consolidated financial statements of the Company for years ended December 31, 2025 and 2024 are available at [www.otcmarkets.com](http://www.otcmarkets.com).

Sincerely,

A handwritten signature in blue ink, appearing to read "Lewis S. Howard, Jr.", with a stylized flourish at the end.

Lewis S. Howard, Jr.  
CEO/President

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**Knoxville, Tennessee**

**CONSOLIDATED FINANCIAL STATEMENTS**

**December 31, 2025 and 2024**



**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED FINANCIAL STATEMENTS**

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## INDEPENDENT AUDITOR'S REPORT

To the Board of Directors  
Windrock Land Company and Subsidiary  
Knoxville, Tennessee

### Opinion

We have audited the consolidated financial statements of Windrock Land Company and its subsidiary (the Company), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, the related consolidated statements of income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

### Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the consolidated financial statements are issued or available to be issued.

### Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

*Pugh & Company, P.C.*

Certified Public Accountants  
Knoxville, Tennessee  
February 18, 2026



**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED BALANCE SHEETS**

|                                           | As of December 31, | 2025                     | 2024                        |
|-------------------------------------------|--------------------|--------------------------|-----------------------------|
|                                           | <b>ASSETS</b>      |                          |                             |
| <b>CURRENT ASSETS</b>                     |                    |                          |                             |
| Cash                                      | \$                 | 2,443,279                | \$ 444,472                  |
| Accounts Receivable                       |                    | 162,247                  | 1,188,260                   |
| Refundable Income Taxes                   |                    | 22,598                   | 69,982                      |
| Prepaid Expenses                          |                    | 381,928                  | 356,664                     |
| Inventories                               |                    | 360,495                  | 362,235                     |
| <b>Total Current Assets</b>               |                    | <u>3,370,547</u>         | <u>2,421,613</u>            |
| <b>NON-CURRENT ASSETS</b>                 |                    |                          |                             |
| <b>PROPERTY, PLANT AND EQUIPMENT</b>      |                    |                          |                             |
| Land and Land Improvements                |                    | 10,643,053               | 10,497,706                  |
| Building and Building Improvements        |                    | 12,158,340               | 12,127,160                  |
| Other Equipment                           |                    | 3,276,543                | 3,201,470                   |
|                                           |                    | <u>26,077,936</u>        | <u>25,826,336</u>           |
| Less: Accumulated Depreciation            |                    | 7,876,505                | 6,970,503                   |
|                                           |                    | <u>18,201,431</u>        | <u>18,855,833</u>           |
| Construction In Progress                  |                    | 35,930                   | 7,151                       |
| <b>Property, Plant and Equipment, Net</b> |                    | <u>18,237,361</u>        | <u>18,862,984</u>           |
| Marketable Equity Securities              |                    | 6,034,542                | 6,957,425                   |
| Other Assets                              |                    | 2,190                    | 2,190                       |
| <b>Total Other Noncurrent Assets</b>      |                    | <u>6,036,732</u>         | <u>6,959,615</u>            |
| <b>Total Noncurrent Assets</b>            |                    | <u>24,274,093</u>        | <u>25,822,599</u>           |
| <b>TOTAL ASSETS</b>                       | \$                 | <u><u>27,644,640</u></u> | \$ <u><u>28,244,212</u></u> |

The accompanying notes are an integral part of these consolidated financial statements.

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED BALANCE SHEETS (Continued)**

|                                                                                                                                                     | As of December 31, | <u>2025</u>              | <u>2024</u>                 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------------------|-----------------------------|
| <b>LIABILITIES AND STOCKHOLDERS' EQUITY</b>                                                                                                         |                    |                          |                             |
| <b>CURRENT LIABILITIES</b>                                                                                                                          |                    |                          |                             |
| Accounts Payable                                                                                                                                    | \$                 | 124,918                  | \$ 461,984                  |
| Lines of Credit                                                                                                                                     |                    | 0                        | 1,176,847                   |
| Property Taxes Payable                                                                                                                              |                    | 384,698                  | 361,763                     |
| Other Accrued Expenses                                                                                                                              |                    | 131,586                  | 131,354                     |
| Deferred Revenue                                                                                                                                    |                    | 1,043,607                | 1,014,303                   |
| Current Portion of Long-Term Debt                                                                                                                   |                    | <u>0</u>                 | <u>34,292</u>               |
| <b>Total Current Liabilities</b>                                                                                                                    |                    | <u>1,684,809</u>         | <u>3,180,543</u>            |
| <b>LONG-TERM LIABILITIES</b>                                                                                                                        |                    |                          |                             |
| Long-Term Debt, Less Current Portion                                                                                                                |                    | 0                        | 448,411                     |
| Deferred Income Taxes                                                                                                                               |                    | <u>1,717,934</u>         | <u>1,721,155</u>            |
| <b>Total Long-Term Liabilities</b>                                                                                                                  |                    | <u>1,717,934</u>         | <u>2,169,566</u>            |
| <b>TOTAL LIABILITIES</b>                                                                                                                            |                    | <u>3,402,743</u>         | <u>5,350,109</u>            |
| <b>STOCKHOLDERS' EQUITY</b>                                                                                                                         |                    |                          |                             |
| Common Stock - No Par Value, \$10 Stated Value; 500,000 Shares<br>Authorized, 93,298 Shares Issued and Outstanding<br>at December 31, 2025 and 2024 |                    | 932,980                  | 932,980                     |
| Capital in Excess of Stated Value                                                                                                                   |                    | 1,378,809                | 1,378,809                   |
| Retained Earnings                                                                                                                                   |                    | <u>21,930,108</u>        | <u>20,582,314</u>           |
| <b>Total Stockholders' Equity</b>                                                                                                                   |                    | <u>24,241,897</u>        | <u>22,894,103</u>           |
| <b>TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY</b>                                                                                                   | \$                 | <u><u>27,644,640</u></u> | \$ <u><u>28,244,212</u></u> |

The accompanying notes are an integral part of these consolidated financial statements.

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED STATEMENTS OF INCOME**

|                                                            | For the Years Ended December 31, | 2025       | 2024         |
|------------------------------------------------------------|----------------------------------|------------|--------------|
| <b>REVENUES</b>                                            |                                  |            |              |
| Rental Income                                              | \$                               | 4,131,955  | \$ 4,058,151 |
| Land Use Permits                                           |                                  | 3,421,458  | 3,221,269    |
| Merchandise Sales                                          |                                  | 2,273,900  | 2,143,159    |
| Carbon Offset Credits                                      |                                  | 172,500    | 912,545      |
| Gas and Oil Royalties                                      |                                  | 475,529    | 402,801      |
| Timber Sales                                               |                                  | 778,419    | 780,164      |
| Tower Site Lease Income                                    |                                  | 201,746    | 203,841      |
| Wind Power Site Lease Income                               |                                  | 90,383     | 88,178       |
| Miscellaneous Revenue                                      |                                  | 1,310,339  | 485,745      |
| <b>Total Revenues</b>                                      |                                  | 12,856,229 | 12,295,853   |
| <b>OPERATING EXPENSES</b>                                  |                                  | 8,842,685  | 9,061,781    |
| <b>OPERATING INCOME</b>                                    |                                  | 4,013,544  | 3,234,072    |
| <b>OTHER INCOME (EXPENSE)</b>                              |                                  |            |              |
| Interest and Dividend Income                               |                                  | 260,001    | 197,870      |
| Interest Expense                                           |                                  | (33,462)   | (75,745)     |
| Net Realized Gain on Marketable Equity Securities          |                                  | 954,438    | 0            |
| Net Unrealized Gain (Loss) on Marketable Equity Securities |                                  | (410,422)  | 1,223,519    |
| <b>Total Other Income (Expense)</b>                        |                                  | 770,555    | 1,345,644    |
| <b>NET INCOME BEFORE INCOME TAXES</b>                      |                                  | 4,784,099  | 4,579,716    |
| <b>PROVISION FOR INCOME TAX EXPENSE (BENEFIT)</b>          |                                  |            |              |
| Current                                                    |                                  | 1,386,970  | 648,088      |
| Deferred                                                   |                                  | (3,221)    | 272,118      |
| <b>Net Provision for Income Tax</b>                        |                                  | 1,383,749  | 920,206      |
| <b>NET INCOME</b>                                          | \$                               | 3,400,350  | \$ 3,659,510 |
| <b>NET INCOME PER SHARE</b>                                | \$                               | 36.45      | \$ 39.22     |

The accompanying notes are an integral part of these consolidated financial statements.

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY**

**For the Years Ended December 31, 2025 and 2024**

|                                    | Common<br>Stock   | Capital in<br>Excess of<br>Stated Value | Retained<br>Earning  | Total                |
|------------------------------------|-------------------|-----------------------------------------|----------------------|----------------------|
| <b>BALANCES, January 1, 2024</b>   | \$ 932,980        | \$ 1,378,809                            | \$ 18,508,870        | \$ 20,820,659        |
| Net Income                         | 0                 | 0                                       | 3,659,510            | 3,659,510            |
| Dividends Paid                     | 0                 | 0                                       | (1,586,066)          | (1,586,066)          |
| <b>BALANCES, December 31, 2024</b> | 932,980           | 1,378,809                               | 20,582,314           | 22,894,103           |
| Net Income                         | 0                 | 0                                       | 3,400,350            | 3,400,350            |
| Dividends Paid                     | 0                 | 0                                       | (2,052,556)          | (2,052,556)          |
| <b>BALANCES, December 31, 2025</b> | \$ <u>932,980</u> | \$ <u>1,378,809</u>                     | \$ <u>21,930,108</u> | \$ <u>24,241,897</u> |

The accompanying notes are an integral part of these consolidated financial statements.

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**CONSOLIDATED STATEMENTS OF CASH FLOWS**

| For the Years Ended December 31,                                    | 2025                       | 2024                     |
|---------------------------------------------------------------------|----------------------------|--------------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                         |                            |                          |
| Net Income                                                          | \$ 3,400,350               | \$ 3,659,510             |
| Adjustments to Reconcile Net Income to Net Cash                     |                            |                          |
| Provided by (Used in) Operating Activities:                         |                            |                          |
| Depreciation and Amortization                                       | 1,155,366                  | 1,041,464                |
| Net Realized (Gain) Loss on Sales of Marketable Equity Securities   | (954,438)                  | 0                        |
| Net Unrealized (Gain) Loss on Sales of Marketable Equity Securities | 410,422                    | (1,223,519)              |
| (Gain) Loss on Sales of Equipment                                   | (11,495)                   | (36,930)                 |
| Deferred Income Tax Expense                                         | (3,221)                    | 272,118                  |
| Changes in Operating Assets and Liabilities:                        |                            |                          |
| Accounts Receivable                                                 | 1,026,013                  | (158,497)                |
| Refundable Income Taxes                                             | 47,384                     | 518,476                  |
| Prepaid Expenses                                                    | (25,264)                   | (56,397)                 |
| Inventories                                                         | 1,740                      | (63,817)                 |
| Accounts Payable and Other Accrued Expenses                         | (336,834)                  | (4,479)                  |
| Property Taxes Payable                                              | 22,935                     | (6,535)                  |
| Deferred Revenue                                                    | 29,304                     | 107,501                  |
| <b>Net Cash Provided by Operating Activities</b>                    | <u>4,762,262</u>           | <u>4,048,895</u>         |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                         |                            |                          |
| Proceeds from Sale of Property, Plant and Equipment                 | 113,224                    | 210,360                  |
| Purchases of Property, Plant and Equipment                          | (631,472)                  | (3,632,718)              |
| Proceeds from Sales of Marketable Equity Securities                 | 1,466,899                  | 0                        |
| Purchases of Marketable Equity Securities                           | 0                          | (45,010)                 |
| <b>Net Cash Provided by (Used in) Investing Activities</b>          | <u>948,651</u>             | <u>(3,467,368)</u>       |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                         |                            |                          |
| Net (Repayment) Borrowings on Lines of Credit                       | (1,176,847)                | 1,070,847                |
| Principal Payments on Long-Term Debt                                | (482,703)                  | (32,595)                 |
| Dividends Paid                                                      | (2,052,556)                | (1,586,066)              |
| <b>Net Cash Used in Financing Activities</b>                        | <u>(3,712,106)</u>         | <u>(547,814)</u>         |
| <b>NET INCREASE (DECREASE) IN CASH</b>                              | 1,998,807                  | 33,713                   |
| <b>CASH AT BEGINNING OF YEAR</b>                                    | <u>444,472</u>             | <u>410,759</u>           |
| <b>CASH AT END OF YEAR</b>                                          | <u><u>\$ 2,443,279</u></u> | <u><u>\$ 444,472</u></u> |
| <b>Supplemental Cash Flow Disclosures</b>                           |                            |                          |
| Federal Income Taxes Paid                                           | \$ 1,024,000               | \$ 74,000                |
| State Income Taxes Paid                                             | \$ 258,000                 | \$ 20,000                |
| Interest Paid                                                       | \$ 33,462                  | \$ 75,745                |

The accompanying notes are an integral part of these consolidated financial statements.

**WINDROCK LAND COMPANY  
AND SUBSIDIARY**

**NOTES TO CONSOLIDATED FINANCIAL STATEMENTS**

**December 31, 2025 and 2024**

**NOTE 1 - SIGNIFICANT ACCOUNTING POLICIES**

**Principles of Consolidation** - The accompanying consolidated financial statements include the accounts of Windrock Land Company and its wholly owned subsidiary Windrock Park, LLC (collectively referred to as the "Company"). All intercompany transactions and balances have been eliminated.

**Description of Business** - The Company owns over 73,000 acres in East Tennessee and generates revenue from its land holdings. The Company has agreements with customers for gas and oil production and has agreements with other customers for timber harvesting. The Company generates income from these customers based on a percentage of revenues derived from the customer's operations. The Company also has operating lease agreements with certain customers for communication tower and wind power sites. Additionally, the Company provides outdoor recreational opportunities and the operation of rental cabins, a campground, a general store, and over 300 miles of off-road trails for ATVs and other off-road vehicles.

**Revenue Recognition** - The Company recognizes revenue when it satisfies performance obligations as evidenced by the transfer of products or services to customers, in an amount that reflects the consideration the Company expects to be entitled to receive in exchange for those products or services.

In accordance with contract terms, revenue for timber sales, gas, and oil royalties is recognized in the period product is harvested or produced by the customer. The Company has recreational fee revenue for ATVs and other off-road vehicles through land usage permits that are issued for periods of up to one year. The revenue generated from these fees are recognized on a straight-line basis over the period of the land usage permit. Rental income is primarily derived from the short-term rental of cabins, campsites, and ATV vehicles and is recognized over the rental period. The Company owns a general store and has revenues from the sale of goods, which are recognized at the time of the sale. Revenue from the operating lease agreements for communication tower and wind power sites is recognized based on the lease payments received, which approximates the lease payments recognized on a straight-line basis over the term of the lease.

**Accounts Receivable** - Accounts receivable are generated from the production of gas and oil by customers or contractors who harvest timber on the Company's property. Accounts are determined to be past due based on contractual terms. It is the Company's policy not to require collateral on accounts receivable. Credit losses, when realized, have historically not been insignificant.

**Deferred Revenue** - The Company routinely receives advance gas and oil royalty payments. The Company also receives upfront payments for ATV and other off-road vehicles for land usage permits for use up to one year. The amounts for which payments received have not yet been recognized in revenue have been recorded as deferred revenue in the accompanying consolidated balance sheets.

**Inventories** - Inventories consist primarily of clothing, food products and supplies in the Company's retail general store and are valued at the lower of cost or net realizable value using the average cost method.

**Property, Plant and Equipment** - Property, plant and equipment is recorded at cost. Maintenance and repairs are expensed as incurred, and replacements and improvements are capitalized. Depreciation is determined using the straight-line method over the estimated useful lives of the related assets.

**Retirement Plan** - The Company sponsors a 401(k) retirement plan covering all eligible employees. This plan allows the Company to make a discretionary matching and profit sharing contribution. The Company made contributions of \$103,721 in 2025 and \$100,811 in 2024 to the plan.

## NOTE 1 - SIGNIFICANT ACCOUNTING POLICIES (Continued)

**Advertising Costs** - Advertising costs are expensed as incurred and totaled \$378,129 in 2025 and \$354,398 in 2024.

**Income Per Share** - Income per share has been computed on the average number of shares outstanding during the year of 93,298 for both 2025 and 2024.

**Use of Estimates** - The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

**Adoption of New Accounting Standards** - In December 2023, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures*. The ASU was issued to enhance an entity's income tax disclosures. The ASU is effective for fiscal years beginning after December 15, 2024. The Company has adopted this guidance effective January 1, 2025. The adoption of ASU 2023-09 did not have a material impact on the Company's consolidated financial statements. See Note 7.

**Subsequent Events** - Management has evaluated subsequent events through February 18, 2026, which is the date the consolidated financial statements were available for issuance, and has determined that there are no subsequent events that require disclosure.

## NOTE 2 - CONCENTRATIONS OF CREDIT RISK

The Company maintains its cash accounts with certain U.S. financial institutions. The Company may periodically have cash deposited in excess of Federal Deposit Insurance Corporation (FDIC) insurance limits. The cash accounts are insured by FDIC up to \$250,000 per legal ownership.

## NOTE 3 - MARKETABLE EQUITY SECURITIES AND FAIR VALUE MEASUREMENTS

FASB Accounting Standards Codification 820, *Fair Value Measurements and Disclosures*, established a framework for measuring fair value, which provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of the fair value hierarchy are described as follows:

- Level 1      Quoted prices in active markets for identical assets.
- Level 2      Significant other observable inputs.
- Level 3      Significant unobservable inputs.

The investment's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs. All of the Company's marketable equity securities are valued based on quoted market prices of identical assets on active exchanges (Level 1). The preceding method described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values.

### NOTE 3 - MARKETABLE EQUITY SECURITIES AND FAIR VALUE MEASUREMENTS (Continued)

The following table sets forth the fair value of the Company's marketable equity securities within the fair value hierarchy (all Level 1), as of December 31:

|                                                  | 2025                | 2024                |
|--------------------------------------------------|---------------------|---------------------|
| Common Stocks                                    | \$ 93               | \$ 1,515,569        |
| Mutual Funds                                     | 1,546,640           | 1,536,611           |
| Exchange-Traded Funds                            | 4,487,809           | 3,905,245           |
| Total Marketable Equity Securities at Fair Value | <u>\$ 6,034,542</u> | <u>\$ 6,957,425</u> |

### NOTE 4 - OPERATING LEASES

The Company has operating lease agreements with customers for tower and wind power sites, which expire at various dates through 2028. These leases generally contain renewal options.

Future minimum lease payments to be received under noncancelable operating leases (with initial or remaining terms over one year) as of December 31, 2025, are as follows:

|       |                   |
|-------|-------------------|
| 2026  | \$ 166,647        |
| 2027  | 133,227           |
| 2028  | 129,540           |
| Total | <u>\$ 429,414</u> |

### NOTE 5 - CARBON OFFSETS

The Company's forested land consists of acreage capable of producing carbon offsets that may be monetized under a voluntary program administered by the American Carbon Registry ("ACR").

On July 21, 2021, the Company entered into a Carbon Offset Transaction Terms Agreement ("Carbon Agreement") providing for the sale by the Company of carbon offset credits. Under the terms of the Carbon Agreement, the buyer is obligated to purchase a specified volume of carbon offset credits at an agreed-upon price, delivered over a period of five reporting cycles. During these five reporting cycles, the buyer may also purchase additional excess carbon offset credits within 180 days of the credit issuance by the ACR. After expiration of the first five reporting cycles, the buyer may purchase optional credits, also within 180 days of the credit issuance, for a period of three additional reporting cycles. If, after 180 days of issuance, the buyer does not purchase optional credits, the Company may sell them to a third party on an open trade market.

Revenues recognized from transactions under the Carbon Agreement were \$172,500 and \$912,545 as of December 31, 2025 and 2024, respectively, and the associated expenses were \$61,519 and \$314,587, respectively.

### NOTE 6 - LINE OF CREDIT AGREEMENTS AND LONG-TERM DEBT

The Company has a demand line of credit with a financial institution for borrowings up to a maximum of \$6,500,000. The credit available to the Company under the line of credit agreement may fluctuate and is determined by the financial institution based on the value of eligible collateral pledged to support the line of credit. The Company had no borrowings outstanding under this line of credit as of December 31, 2025. Outstanding borrowings as of December 31, 2024 were \$1,176,847. Borrowings under this line of credit bear interest at the SOFR rate plus 1.25%, with this rate subject to change at the financial institution's discretion. The line of credit is secured by the Company's marketable equity securities.

The Company previously borrowed \$728,000 from a financial institution under a note payable agreement to finance the purchase of a building. The outstanding balance of this note payable was paid in full during 2025. The Company had \$482,703 outstanding on this note payable as of December 31, 2024, with interest at an annual rate of 4% and due in monthly payments.



## NOTE 7 - INCOME TAXES

The Company files income tax returns in the U.S. federal jurisdiction and Tennessee state jurisdiction. With few exceptions, the Company is no longer subject to tax examinations by tax authorities for years before 2022. The Company has not accrued or expensed any amounts of interest or penalties associated with income taxes for years ended December 31, 2025 and 2024. Significant components of the provision for income tax expense (benefit) are as follows for the years ended December 31:

|                                      | 2025                | 2024              |
|--------------------------------------|---------------------|-------------------|
| Current:                             |                     |                   |
| Federal                              | \$ 1,042,975        | \$ 484,351        |
| State                                | <u>343,995</u>      | <u>163,737</u>    |
| Total Current                        | <u>1,386,970</u>    | <u>648,088</u>    |
| Deferred:                            |                     |                   |
| Federal                              | (185,157)           | 432,393           |
| State                                | <u>181,936</u>      | <u>(160,275)</u>  |
| Total Deferred                       | <u>(3,221)</u>      | <u>272,118</u>    |
| Net Provision for Income Tax Expense | <u>\$ 1,383,749</u> | <u>\$ 920,206</u> |

The Company's effective income tax rate differs from the U.S. federal statutory rate as follows:

|                                      | 2025                |                                | 2024              |                                |
|--------------------------------------|---------------------|--------------------------------|-------------------|--------------------------------|
|                                      | Amount              | Percent of<br>Pretax<br>Income | Amount            | Percent of<br>Pretax<br>Income |
| Federal Income Tax at Statutory Rate | \$ 1,004,661        | 21.0 %                         | \$ 961,740        | 21.0 %                         |
| State Income Tax, Net                | 321,176             | 6.7                            | 299,944           | 6.6                            |
| Other Nontaxable Income              | 37,082              | 0.8                            | 32,298            | 0.7                            |
| Other, Net                           | <u>20,830</u>       | <u>0.4</u>                     | <u>(373,776)</u>  | <u>(8.2)</u>                   |
|                                      | <u>\$ 1,383,749</u> | <u>28.9 %</u>                  | <u>\$ 920,206</u> | <u>20.1 %</u>                  |

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes.

Significant components of the Company's net deferred income tax liabilities are as follows at December 31:

|                                                  | 2025                | 2024                |
|--------------------------------------------------|---------------------|---------------------|
| Tax Over Book Depreciation                       | \$ 820,069          | \$ 704,440          |
| Unrealized Gain on Securities Available for Sale | 845,730             | 931,918             |
| Other, Net                                       | <u>52,135</u>       | <u>84,797</u>       |
| Net Deferred Tax Liabilities                     | <u>\$ 1,717,934</u> | <u>\$ 1,721,155</u> |

## NOTE 8 - RELATED PARTY TRANSACTIONS

The Company incurred expenses of \$60,000 and \$60,000 for the years ended December 31, 2025 and 2024, respectively, for legal services provided by a law firm, a member of which serves as a director of the Company. The Company paid directors' fees of \$216,607 and \$216,713 for the years ended December 31, 2025 and 2024, respectively.

## NOTE 9 - SEGMENT REPORTING

The Company generates revenue from its land holdings and has two reportable segments that align with its distinct lines of operations. The Company's segments consist of Natural Resources and Recreation. Senior management serves as the chief operating decision makers and monitors segment net operating income and segment net income to evaluate the performance of Natural Resources and Recreation. In addition to these measures, senior management's reporting package includes several expense categories that are considered key strategic drivers of the Company's long-term profitability and allocation of resources. The accounting policies of each segment are the same as those described in the Note 1. The Company does not have intra-entity sales or transfers.

The Company's segment information is as follows for December 31, 2025:

|                                         | Natural<br>Resources | Recreation          | Total               |
|-----------------------------------------|----------------------|---------------------|---------------------|
| <b>Segment Operating Revenues</b>       |                      |                     |                     |
| Revenues From External Customers        |                      |                     |                     |
| Rental Income                           | \$ 339,540           | \$ 3,792,415        | \$ 4,131,955        |
| Land Use Permits                        | 0                    | 3,421,458           | 3,421,458           |
| Merchandise Sales                       | 0                    | 2,273,900           | 2,273,900           |
| Carbon Offset Credits                   | 172,500              | 0                   | 172,500             |
| Gas and Oil Royalties                   | 475,529              | 0                   | 475,529             |
| Timber Sales                            | 778,419              | 0                   | 778,419             |
| Tower Site Lease Income                 | 201,746              | 0                   | 201,746             |
| Wind Power Site Lease Income            | 90,383               | 0                   | 90,383              |
| Miscellaneous                           | 1,149,261            | 161,078             | 1,310,339           |
| <b>Total Segment Operating Revenues</b> | <b>3,207,378</b>     | <b>9,648,851</b>    | <b>12,856,229</b>   |
| <b>Segment Operating Expenses</b>       |                      |                     |                     |
| Salaries and Wages                      | 559,914              | 2,196,591           | 2,756,505           |
| Employee Benefits                       | 26,453               | 77,268              | 103,721             |
| Insurance                               | 385,221              | 394,473             | 779,694             |
| Taxes                                   | 348,833              | 260,005             | 608,838             |
| Utilities                               | 44,657               | 347,474             | 392,131             |
| Professional                            | 362,632              | 24,055              | 386,687             |
| Repairs and Maintenance                 | 139,016              | 181,222             | 320,238             |
| Supplies                                | 56,235               | 376,083             | 432,318             |
| Credit Card Fees                        | 0                    | 221,787             | 221,787             |
| Depreciation and Amortization           | 175,632              | 979,734             | 1,155,366           |
| Carbon Project                          | 61,519               | 0                   | 61,519              |
| Merchandise Costs                       | 0                    | 1,212,154           | 1,212,154           |
| Advertising                             | 0                    | 378,129             | 378,129             |
| Miscellaneous                           | 16,489               | 17,109              | 33,598              |
| <b>Total Segment Operating Expenses</b> | <b>2,176,601</b>     | <b>6,666,084</b>    | <b>8,842,685</b>    |
| <b>Segment Net Income</b>               | <b>\$ 1,030,777</b>  | <b>\$ 2,982,767</b> | <b>4,013,544</b>    |
| <b>Other Income (Expense)</b>           |                      |                     | <b>770,555</b>      |
| <b>Provision for Income Taxes</b>       |                      |                     | <b>(1,383,749)</b>  |
| <b>Consolidated Net Income</b>          |                      |                     | <b>\$ 3,400,350</b> |

**NOTE 9 - SEGMENT REPORTING (Continued)**

The Company's segment information is as follows for December 31, 2024:

|                                         | Natural<br>Resources | Recreation          | Total               |
|-----------------------------------------|----------------------|---------------------|---------------------|
| <b>Segment Operating Revenues</b>       |                      |                     |                     |
| Revenues From External Customers        |                      |                     |                     |
| Rental Income                           | \$ 323,577           | \$ 3,734,574        | \$ 4,058,151        |
| Land Use Permits                        | 0                    | 3,221,269           | 3,221,269           |
| Merchandise Sales                       | 0                    | 2,143,159           | 2,143,159           |
| Carbon Offset Credits                   | 912,545              | 0                   | 912,545             |
| Gas and Oil Royalties                   | 402,801              | 0                   | 402,801             |
| Timber Sales                            | 780,164              | 0                   | 780,164             |
| Tower Site Lease Income                 | 203,841              | 0                   | 203,841             |
| Wind Power Site Lease Income            | 88,178               | 0                   | 88,178              |
| Miscellaneous                           | 163,534              | 322,211             | 485,745             |
| <b>Total Segment Operating Revenues</b> | <u>2,874,640</u>     | <u>9,421,213</u>    | <u>12,295,853</u>   |
| <b>Segment Operating Expenses</b>       |                      |                     |                     |
| Salaries and Wages                      | 607,519              | 2,231,566           | 2,839,085           |
| Employee Benefits                       | 27,174               | 73,637              | 100,811             |
| Insurance                               | 358,788              | 364,203             | 722,991             |
| Taxes                                   | 449,815              | 229,401             | 679,216             |
| Utilities                               | 44,030               | 293,165             | 337,195             |
| Professional                            | 354,742              | 36,363              | 391,105             |
| Repairs and Maintenance                 | 37,441               | 142,579             | 180,020             |
| Supplies                                | 60,029               | 617,023             | 677,052             |
| Credit Card Fees                        | 0                    | 219,041             | 219,041             |
| Depreciation and Amortization           | 110,662              | 930,802             | 1,041,464           |
| Carbon Project                          | 314,587              | 0                   | 314,587             |
| Merchandise Costs                       | 0                    | 1,157,197           | 1,157,197           |
| Advertising                             | 0                    | 354,398             | 354,398             |
| Miscellaneous                           | 15,993               | 31,626              | 47,619              |
| <b>Total Segment Operating Expenses</b> | <u>2,380,780</u>     | <u>6,681,001</u>    | <u>9,061,781</u>    |
| <b>Segment Net Income</b>               | <u>\$ 493,860</u>    | <u>\$ 2,740,212</u> | 3,234,072           |
| <b>Other Income (Expense)</b>           |                      |                     | 1,345,644           |
| <b>Provision for Income Taxes</b>       |                      |                     | <u>(920,206)</u>    |
| <b>Consolidated Net Income</b>          |                      |                     | <u>\$ 3,659,510</u> |